

AGBK pitch deck

PITCH — AGBK — PROPOSED VERDICT

NO ENTRY at \$6.14 — the earnings damage is real and arriving now (margin compression plus front-loaded loan-loss provisions), and the stock is fair-to-rich, not cheap, at roughly 1.09× book value against a 7–10% forward return on equity. Watch only; re-open the case on the third-quarter report. PROPOSED — PENDING ADJUDICATION.

Company: AGI Inc (“Agibank”), a Brazilian consumer lender listed in the US (SEC CIK 2081206). Price \$6.14, essentially at its 52-week low of \$6.07 and down ~50% from its high of \$12.21 (Yahoo close, 2026-08-14). We hold no position and have no orders.

What we believe

Agibank’s second-quarter results (reported 2026-08-05) show a business spending heavily to grow while its core profitability erodes:

- **Pre-tax profit collapsed ~69% year over year** — R\$115.0M vs ~R\$368M for the quarter. Our line-by-line bridge of the financial statements attributes essentially all of the decline to two items: loan-loss provisions up R\$210.7M and selling/admin costs up R\$139.2M. Part of that is a mechanical artifact of fast growth — accounting rules force lenders to book expected losses on new loans up front, before those loans have earned much — and management says as much in the release.
- **But the growth-accounting excuse doesn’t cover everything.** Net interest income (what the bank earns on lending, after funding costs) was essentially **flat (+1.0% year over year) while the loan book grew 21.2%**. New loans earn interest from day one, so flat income on a much bigger book means the earnings per loan fell roughly 17%. That is genuine, present-tense margin compression — driven by the shift toward safer, lower-yielding secured lending (88% of the book and rising) — and it was the single most important finding of this review. Neither the original thesis nor the prosecution had it; it emerged from reading the statements directly.
- **Reported net income is propped up by an unusual tax benefit.** The effective tax rate was *negative* 74% this quarter — the company earned a tax credit — which it attributes to parking IPO proceeds in tax-favored instruments. The tax line swung by roughly R\$180M between the first and second quarters. Quarter-to-quarter net income is therefore not a meaningful measure of this business right now; pre-tax profit is.
- **The headline “21.6% return on equity, ~1× book” cheapness case is an illusion.** Equity grew 51% in six months because the February IPO added R\$1.24B of fresh capital. Trailing returns were earned on the old, smaller equity base. On the full current equity of R\$4.8B and a normalized tax rate, forward return on equity works out to roughly 7–10%. For a Brazilian bank, ~1.09× book against 7–10% returns is fair at best.

One important concession: the original thesis's flagship "structural" claim — that a new 1.99%/month government rate ceiling caps exactly the product growing 48% per quarter — **was wrong and is struck**. Primary sources show the cap applies only to loans where a worker voluntarily pledges their FGTS savings as collateral; that FGTS-collateralized product *shrank* 6.7% in the quarter and is ~3% of the book. The fast grower is uncapped private payroll lending, itself only 3.8% of the book. The margin problem is real, but it comes from business mix, not regulation.

What the market believes

The stock has been cut in half since the February IPO and sits within 1% of its all-time low, so the market has already priced in substantial disappointment — plausibly the pre-tax profit collapse itself, which was disclosed on August 5. The 180-day IPO lockup expired on 2026-08-10; because no resale registration has been filed, pre-IPO holders can only sell gradually under Rule 144 volume limits, and the tape appears to be absorbing that steady trickle of supply. We could not read short interest or positioning data this session (our brokerage data connection was denied), so we genuinely do not know how crowded either side of this trade is.

Why we might have edge

- Every load-bearing number above comes from the company's own SEC-filed interim statements and press release ([financial statements exhibit](#); [press release exhibit](#)), reviewed by EY, not from broker summaries.
- The flat-interest-income-on-a-growing-book finding required combining two footnotes and does not appear in the company's own framing, which emphasizes client growth and "upfront expected-loss provisions."
- We caught a disclosure inconsistency: on the earnings call, management suggested the tax rate "normalizes to positive" later this year; the written release instead calls the tax benefit "a feature of our capital management." When the spoken and written stories differ, we treat that as information.
- We know exactly what to grade next quarter on: management pre-committed to "sequentially higher income." We will grade that promise on pre-tax profit and on interest income versus loan growth — the two lines that can't be flattered by the tax credit.

Why it might be priced in

- A 50% drawdown to the IPO low is a lot of bad news absorbed already. The pre-tax collapse is public; anyone reading the release saw it.
- If the provision build really is mostly growth accounting, pre-tax profit mechanically recovers as loan vintages mature — the bull case requires no heroics, just patience, and the market may re-rate quickly on the first clean quarter.
- The tax shield, whatever its accounting aesthetics, is real cash benefit and may persist, supporting reported earnings.

- We have no positioning data (see gap above), so we cannot rule out that the bear case is the crowded side.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“1.99%/mo rate cap throttles exactly the product growing 48%/quarter” (original thesis)	6-K press release via SEC; Brazilian government regulations (gov.br, JOTA)	Cap applies only to worker-elected FGTS-collateralized loans; that line fell 6.7% ; the +48.1% grower (private payroll, R\$1.4B) is 3.8% of the R\$37.1B book	REFUTED — thesis error, struck
Pre-tax profit –69% year over year	Financial statements exhibit, line-by-line bridge	R\$115.0M vs ~R\$368M; decline = provisions +R\$210.7M + selling/admin +R\$139.2M	Confirmed
“Provision build is just growth accounting, damage is deferred” (prosecution bench)	Interest income note vs loan book growth	Interest income +1.0% on loans +21.2% — real margin compression happening now, alongside the accounting effect	Partly overturned — prosecution wrongly deferred this to November; the disclosure answers it today
“The detailed provision note can’t be parsed; only the Nov print resolves this” (prosecution bench)	Fetches the <i>other</i> August 5 filing	Prosecution had queried the wrong document (press-release filing instead of the statements filing, one accession number over); the note parsed fine	Bench error — corrected by the defense bench
“No post-effective amendment exists on EDGAR; it’s a phantom” (prosecution bench)	Targeted EDGAR search by filing type	It exists (POS AM, 2026-02-10) — the prosecution’s 40-most-recent browse window simply didn’t reach it. Substance survives: it’s the routine at-IPO amendment, not a resale shelf	Bench error on the fact; conclusion (no registered share overhang) stands
Tax rate “normalizing” per the earnings call	Written release vs transcript; tax note	Release calls the credit a persistent “feature of capital management”; tax line swung ~R\$180M between Q1 and Q2	Confirmed divergent — net income unmodelable; grade on pre-tax
“Cheap at 21.6% ROE, ~1× book” (original thesis)	Equity note; IPO proceeds	Equity +51% in six months from the IPO; forward return on equity ≈ 7–10% on the full base; ~1.09× book = fair-to-rich	Refuted as a cheapness case
Efficiency ratio “+6 points year over year” (original thesis)	Press release verbatim	It’s 6.9 points quarter over quarter	Thesis error, corrected
Lockup / share supply	Lockup calendar + EDGAR	Expired 2026-08-10; no resale registration; supply is a gradual Rule-144 trickle, not a cliff	Confirmed
Short interest / crowding	Brokerage data connection	Permission denied — not checked	Coverage gap

PROPOSED ENTRY BANDS

The courts recommend no entry and no resting buy order. The stock sitting at its low is explicitly *not* trusted as support while lockup-related selling trickles out, and both benches declined to set a price-only trigger (a price gate with no news attached tends to fire precisely when the thesis has gotten worse, not better). Sizing now: **0% of book.**

Reopen conditions (event-driven, from the benches' own math):

1. **Third-quarter 2026 report (estimated 2026-11-11 — date unconfirmed by the company).** Grade management's "sequentially higher income" promise on **pre-tax profit** (not net income, which the tax line distorts) and on **interest income growing roughly in line with the loan book.** If both pass, the "growth accounting" explanation wins, forward returns are better than 7–10%, and a long case at $\sim 1\times$ book reopens. If both fail, the margin-compression case is confirmed and a short case reopens instead.
2. **Earlier, bearish:** any resale registration statement appearing on EDGAR (would convert the gradual supply into a registered block), or Brazilian regulators extending a hard rate cap to the core INSS pension-payroll book (which the current cap does *not* touch).
3. **Earlier, bullish:** disclosure showing the provision build reversing (coverage ratio releasing) with interest income re-accelerating.

For reference only, using the benches' own figures: book value is $\sim R\$4.80B$ ($\sim \$900M$ at an *unverified* estimated exchange rate of 5.33), or $\sim \$5.60/\text{share}$, so $\$6.14 \approx 1.09\times$ book. No trade is proposed at any price before the reopen events above resolve; adjudication should set sizing then.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- filing watch: F-1,F-3,424B4,424B3,POS AM until 2027-02-11 (deck-provisional: resale registration would convert post-lockup Rule-144 trickle into registered block supply)
- dated pack AGBK|2026-11-11: AGBK: 3Q26 results (vendor-estimated date, unconfirmed by company PR) (date confirmed=False)

What remains unverified

- **Live price and FX.** Brokerage access was denied all session; the $\$6.14$ tape and the 5.33 BRL/USD rate behind the price-to-book figure are estimates, not executable quotes.
- **The next earnings date** (2026-11-11 is vendor-derived, unconfirmed by the company).
- **Short interest and crowding** — completely unread.
- **The exact legal scope of the rate cap.** The defense bench relied on the prosecution's citations of the June 2026 regulations without re-fetching them; the 3.8%-of-book arithmetic makes the conclusion robust anyway, but the opt-in mechanics are one source deep.
- **How much of the provision build is vintage-related vs. deteriorating credit.** The bridge confirms provisions drove the profit fall; it cannot fully separate "new loans, normal

seasoning” from “old loans going bad.” The November coverage-ratio and delinquency disclosure is the test.

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